

Valuation

What's a Fair Price to Pay? — Lesson Explainer

The Concept

Share price alone tells you nothing - what matters is price relative to something, usually earnings. P/E ratio (price / EPS) tells you how many dollars investors pay today for each dollar of current annual profit.

PEG ratio (P/E / expected annual earnings growth) adjusts P/E for growth. Around 1.0 suggests price roughly matches growth; well below 1.0 can suggest a bargain; well above 2.0 often suggests price has run ahead of growth.

No ratio works in isolation - always compare against the company's own historical range and against direct industry peers.

Illustrative Example: Same P/E, Very Different Growth

Metric	Company A	Company B
Share Price	\$75.00	\$75.00
Earnings Per Share	\$3.00	\$3.00
P/E Ratio	25.0	25.0
Expected Annual Earnings Growth	30%	10%
PEG Ratio	0.83	2.50

Both companies trade at an identical P/E of 25 - equally 'expensive' on that number alone. But Company A grows 3x faster, giving it a much lower, more attractive PEG of 0.83 vs Company B's 2.50.

5 Things to Know About Valuation

1. Share price alone tells you nothing about value - always look at a ratio like P/E.
2. A high P/E isn't automatically bad, a low P/E isn't automatically good - context matters.
3. PEG adjusts P/E for growth - identical P/E ratios can hide very different PEG ratios.
4. Valuation only means something in comparison - to history and to industry peers.
5. A 'cheap' valuation can be cheap for a reason - declining businesses trade at low multiples too.

4 Things to Check Before Trusting a Valuation

- Compare to industry peers - a P/E of 30 means different things in different industries.
- Compare to the company's own history - rich or cheap vs its own average?
- Sanity-check growth assumptions - a low PEG on an unrealistic forecast isn't really cheap.
- Combine with everything else in this track - margins, debt, and cash flow all matter too.

Worth knowing:

no single valuation metric tells the whole story - a low P/E can mean a bargain or a business in decline. Always read valuation ratios together with the income statement, balance sheet, and cash flow picture from earlier in this track.

Quiz — Answer the questions, then check the key on the next page

1. What does the P/E ratio measure?

- A. The company's total debt
- B. The company's dividend yield
- C. How many dollars investors pay today for each dollar of current annual profit
- D. The number of shares outstanding

2. What does the PEG ratio add on top of the plain P/E ratio?

- A. A measure of trading volume
- B. The company's dividend history
- C. Nothing, they're identical
- D. It adjusts P/E for the company's expected earnings growth rate

3. Why did Company A and Company B have different PEGs despite an identical P/E of 25?

- A. Because their share prices were different
- B. Because their expected earnings growth rates were very different (30% vs 10%)
- C. Because one company paid a dividend
- D. PEG ratios are always identical when P/E is identical

4. Why can a 'cheap' low P/E stock actually be a warning sign?

- A. Declining businesses often trade at low multiples because the market expects trouble
- B. Low P/E stocks are always fraudulent
- C. P/E has no relationship to how the market views a company
- D. Low P/E only happens to companies with no earnings at all

5. Why is comparing a valuation ratio to industry peers important?

- A. It isn't important, one number works for every industry
- B. Peers only matter for dividend stocks
- C. A given P/E can be normal in one industry and expensive in another
- D. Industry comparisons are illegal under securities law

Answer Key

1. What does the P/E ratio measure?

Correct answer: C. How many dollars investors pay today for each dollar of current annual profit

P/E = share price divided by earnings per share.

2. What does the PEG ratio add on top of the plain P/E ratio?

Correct answer: D. It adjusts P/E for the company's expected earnings growth rate

PEG divides P/E by the expected growth rate, letting you compare on a growth-adjusted basis.

3. Why did Company A and Company B have different PEGs despite an identical P/E of 25?

Correct answer: B. Because their expected earnings growth rates were very different (30% vs 10%)

Company A's much faster growth gave it a lower, more attractive PEG.

4. Why can a 'cheap' low P/E stock actually be a warning sign?

Correct answer: A. Declining businesses often trade at low multiples because the market expects trouble

A low multiple can reflect the market pricing in real risk or decline.

5. Why is comparing a valuation ratio to industry peers important?

Correct answer: C. A given P/E can be normal in one industry and expensive in another

A P/E of 30 is unremarkable in software, expensive in banking - comparisons need context.